

# BRIEFING NOTE

UNIVERSITY OF CAPE TOWN



## South African IPPs: Financial Close Monitor

2026 closures, full-year outlook, and historical context (2011–2026)

Briefing note May 2026

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**8**

**Confirmed closures**

*YTD April 2026*

**1 932 MW**

**Confirmed capacity**

*Solar and storage*

**26**

**Pipeline projects**

*In advanced development*

**3 320 MW**

**Pipeline capacity**

*Potential further 2026 closures*

## EXECUTIVE SUMMARY

South Africa's renewable energy sector delivered eight confirmed financial closures in the period to 30 April 2026, representing 1 932 MW of new generation and storage capacity. With a further 26 projects totalling approximately 3 320 MW in advanced development, the combined pipeline of roughly 5 252 MW means 2026 is on track to set a new record for renewable energy capacity closed in a single year, surpassing 2024's 3 562 MW even though the count of closures is expected to be marginally lower.

Three structural features stand out. Policy continuity after the 2015–2018 REIPPPP moratoria has produced a sustained recovery, in contrast to the bid-window-driven cycles that shaped earlier years. The domestic capital market is now underwriting projects of up to 475 MW, and REI4P and BESI4P projects continue to account for the majority of 2026 capacity once pipeline is included — indicating the programmatic channel remains a decisive driver of new build alongside the expanding private-sector market. Within the C&I segment, licensed electricity traders — NOA, Discovery Green, Etana Energy, Lyra Energy and PowerX — have emerged as the dominant intermediary, aggregating off-take for corporate customers in roughly 80% of YTD C&I capacity.

## 1. FINANCIAL CLOSURES CONFIRMED IN 2026 (YTD 30 APRIL 2026)

Eight projects reached financial close in South Africa between 1 January and 30 April 2026, encompassing 1 932 MW across utility-scale and mid-scale solar PV, solar-plus-storage and standalone battery energy storage. All eight projects secured domestic debt financing, with South African commercial banks (Standard Bank, Absa, Nedbank, Investec, RMB) and DFIs (DBSA) underwriting the full debt stack — a notable indicator of local capital-market depth for projects of this scale.

**Table 1. Confirmed South African renewable energy financial closures, 1 January – 30 April 2026.**

| Project             | Technology                               | Installed Capacity (MWdc) | Offtaker                                   | Developer                   | Debt finance                                                        |
|---------------------|------------------------------------------|---------------------------|--------------------------------------------|-----------------------------|---------------------------------------------------------------------|
| Notsi               | Solar PV                                 | 475                       | NOA and Discovery Green (licensed traders) | Anthem / Reatile Group      | Standard Bank, Nedbank, Absa, Vantage Capital, Third Way Investment |
| Beaufort West       | Solar PV                                 | 380                       | C&I portfolio (via NOA, trader)            | Mulilo                      | Absa, Standard Bank, Investec, Nedbank                              |
| Middlepunt          | Solar PV                                 | 337                       | Eskom (REI4P)                              | Mulilo / Reatile / Perpetua | Standard Bank, Absa, Nedbank                                        |
| Naos 1              | Solar PV + BESS (660 MWh)                | 300                       | Sasol and Air Liquide (direct C&I)         | SOLA                        | DBSA, Nedbank, RMB, Investec, Absa                                  |
| Orkney              | Solar PV                                 | 219                       | Etana Energy (trader)                      | Mulilo Energy               | Standard Bank, Absa                                                 |
| Mulilo Mercury BESS | Battery storage (304 MWh)                | 76                        | Eskom (BESI4P BW2)                         | Mulilo                      | Standard Bank, Absa, Nedbank                                        |
| Parsons             | Solar PV                                 | 25                        | PowerX (trader)                            | Natura Energy               | Standard Bank                                                       |
| Lyra Thakadu 1      | Solar PV                                 | 120                       | Lyra Energy (trader)                       | Scatec                      | Standard Bank                                                       |
| <b>Total</b>        | <b>6 solar   1 solar + BESS   1 BESS</b> | <b>1 932</b>              |                                            |                             |                                                                     |

Source: Power Futures Lab, IPP Knowledge Hub (April 2026). <https://powerfutureslab.co.za/research/knowledge-hub>

### Key themes from the 2026 confirmed closures

- **Large-scale solar dominance.** Six of the eight closures are solar PV; at 475 MW and 380 MW respectively, Notsi and Beaufort West are among the largest single solar PV projects to reach financial close in South Africa to date.
- **Battery storage arriving at bankable scale.** Two projects include storage — Naos 1 (660 MWh, paired with solar) and the standalone Mulilo Mercury BESS (304 MWh) — reflecting rising bankability of storage assets in the South African grid context.
- **Trader-intermediated C&I off-take.** Of the six C&I closures (1 519 MW in aggregate), five — Notsi, Beaufort West, Orkney, Lyra Thakadu and Parsons — were contracted through licensed electricity traders (NOA, Discovery Green, Etana Energy, Lyra Energy and PowerX), representing about 80% of YTD 2026 C&I capacity. Section 3 unpacks this trend.
- **Competitive tariffs.** Middlepunt (REI4P Bid Window 7) achieved a tariff of US\$¢ 2.7/kWh — the lowest tariff awarded under REI4P to date.

## 2. 2026 OUTLOOK: PIPELINE OF EXPECTED FINANCIAL CLOSURES

Beyond the eight confirmed closures, 26 projects with an aggregate pipeline capacity of approximately 3 320 MW are in advanced development and expected to reach financial close in 2026. The pipeline is dominated by three procurement channels (Table 2).

**Table 2. Projects in advanced development and expected to reach financial close in 2026, by procurement channel.**

| Programme             | Technology            | No.       | MW           | Key projects / developers                                                            |
|-----------------------|-----------------------|-----------|--------------|--------------------------------------------------------------------------------------|
| REI4P BW6             | Solar PV              | 4         | 640          | REIPPPP solar projects led by Red Rocket, Enel, and ib vogt GmbH                     |
| REI4P BW7             | Solar PV              | 7         | 1 520        | REIPPPP solar projects led by Infinity Power Holding SA and Scatec                   |
| BESI4P BW2            | Battery storage       | 7         | 539          | Seven 77 MW BESS projects — EDF, Mulilo and AMEA Power                               |
| C&I / Private         | Solar PV              | 6         | 211          | Barberton, Atlantis Foundries, Implats Marula, Teraco, FG1 Harmony Mines, and others |
| C&I / Private         | Wind                  | 1         | 210          | Hendrina Wind (Envusa and Enertrag)                                                  |
| C&I / Private         | Wind-Solar, PV hybrid | 1         | 200          | Tronox (200 MW)                                                                      |
| <b>Pipeline total</b> |                       | <b>26</b> | <b>3 320</b> |                                                                                      |

Source: Power Futures Lab, IPP Knowledge Hub (April 2026). <https://powerfutureslab.co.za/research/knowledge-hub>

### Pipeline highlights

- **REI4P Bid Window 6.** Four BW6 projects are estimated to close in 2026, with a combined capacity of approximately 640 MW. These plants are solar PV projects led by Red Rocket, Enel, and ib vogt GmbH.
- **REI4P Bid Window 7.** Seven BW7 projects are estimated to close in 2026, with a combined capacity of approximately 1 520 MW. These plants are solar PV projects led by Infinity Power Holding SA and Scatec. A further four BW7 projects have already been reallocated to 2027 following delays.
- **BESI4P Bid Window 2.** Eight 77 MW / 308 MWh BESS projects were procured under BESI4P BW2. Mulilo Mercury BESS has reached financial close; the remaining seven — developed by EDF, Mulilo and AMEA Power — are expected to close in 2026, adding a further 539 MW / approximately 2 156 MWh.
- **Private and C&I pipeline.** A growing C&I pipeline is in advanced development, including the 210 MW Hendrina wind farm (Envusa and Enertrag), the 200 MW Tronox wind-solar hybrid and smaller industrial self-supply projects for Implats, Pan Africa Resources and Atlantis Foundries. The pipeline is likely understated, as several licensed traders (including NOA, Discovery Green and Envusa) have additional 2026 closures in development that are not yet in the public domain.

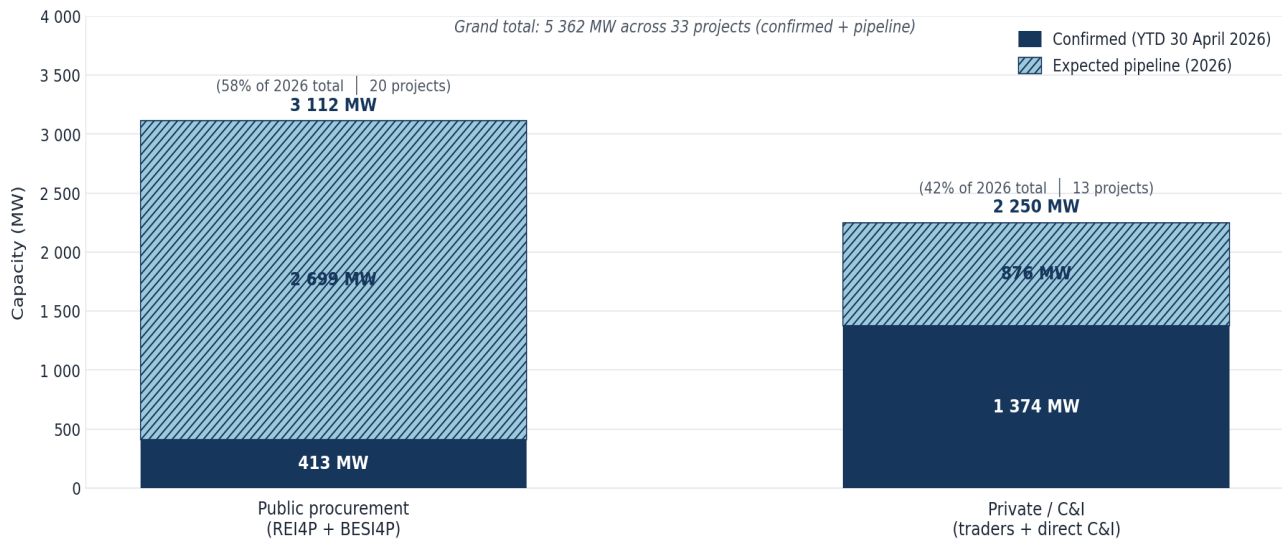
#### 2026 full-year forecast (confirmed + pipeline)

If the full 2026 pipeline closes as expected, the year would total approximately **34 financial closures representing c. 5 252 MW** of new renewable energy capacity — the highest single-year volume in South Africa's history, surpassing the 3 562 MW recorded across 35 closures in 2024. Realising the full pipeline in a single calendar year is ambitious; some projects may slip into 2027, but even partial conversion would make 2026 exceptional by historical standards.

## 2026 capacity by programme and offtake channel

The 2026 deal flow (confirmed + pipeline) splits almost six to four in favour of the public procurement programmes. REI4P Bid Windows 6 and 7 together with BESI4P Bid Window 2 account for an estimated 3 112 MW across 20 projects — roughly 59% of the 5 252 MW total — while the private C&I channel represents 2 140 MW across 14 projects. Figure 1 visualises the split by capacity and stage (confirmed vs. pipeline).

### 2026 SA renewable energy capacity by programme and offtake channel



**Figure 1. 2026 South African renewable energy capacity by programme and offtake channel (confirmed + pipeline).**

Source: Power Futures Lab, IPP Knowledge Hub (April 2026). Public programme = REI4P BW6/7 + BESI4P BW2; Private = C&I / trader-intermediated off-take.

### 3. EMERGING TREND: THE RISE OF ELECTRICITY TRADERS

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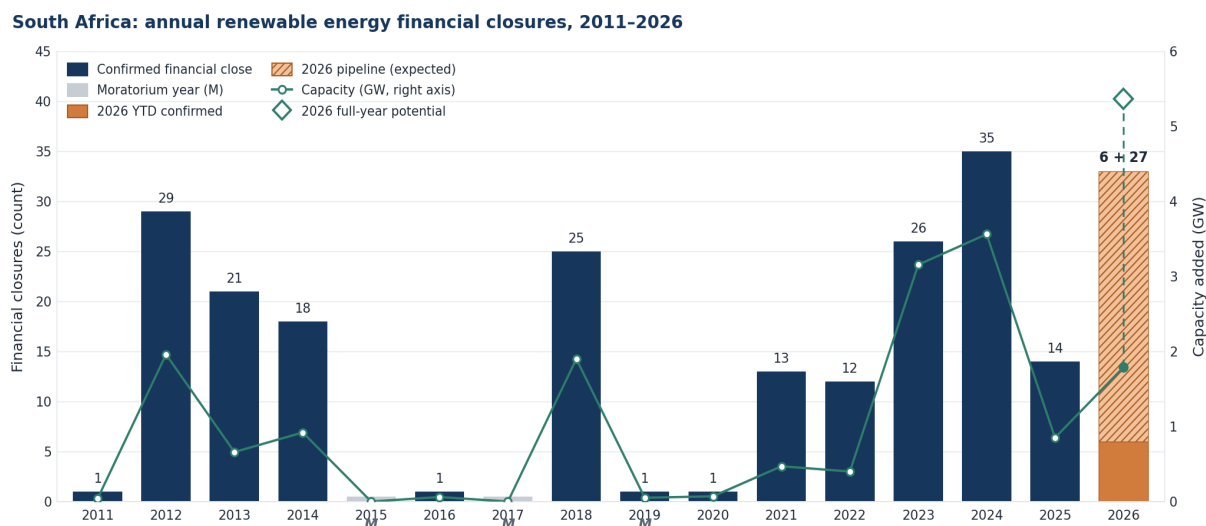
A defining feature of the 2026 deal flow is the role of licensed electricity traders as the intermediary between independent power producers and corporate electricity users. Where C&I procurement was initially organised around bilateral PPAs between developer and end-user, the largest 2026 C&I transactions are now being aggregated through traders with diversified customer portfolios and dedicated trading licences from NERSA.

Of the six confirmed 2026 C&I closures, five — Notsi (475 MW, off-take with NOA and Discovery Green, both licensed traders), Beaufort West (380 MW, C&I portfolio off-take via NOA), Orkney (219 MW, off-take via Etana Energy), Lyra Thakadu (120 MW, off-take via Lyra Energy) and Parsons (25 MW, off-take via PowerX) — are trader-intermediated, accounting for 1 219 MW, or approximately 80%, of the 1 519 MW of confirmed 2026 C&I capacity. The sixth, Naos 1 (300 MW), is a direct bilateral arrangement between SOLA and the Sasol–Air Liquide joint off-take. Lyra Energy is a partnership of Scatec, Standard Bank and Stanlib operating as a trader-aggregator, and Lyra Thakadu is its first project to reach financial close in 2026.

Three structural drivers underpin this shift, each addressing a different counterparty in the transaction. For developers, traders provide aggregation: by pooling demand from multiple corporate customers, they create off-take at the scale that 250–500 MW projects require, well beyond what any single industrial buyer could underwrite on its own balance sheet. For lenders, traders provide risk intermediation: a single creditworthy counterparty stands between the IPP and a diversified portfolio of end-users, absorbing the price, volume and counterparty risks that would otherwise be priced into each individual bilateral arrangement — and shortening the path to financial close. For customers, traders provide contract flexibility: blended supply across multiple generators, technologies and geographies, with shorter or variable tenures and layered hedging, allowing corporate buyers to align procurement with their own load profiles, credit appetite and planning horizons in ways that a single bilateral PPA cannot replicate. *The implication for 2026–2028 deal flow is significant: if the pattern holds, the majority of new private-sector capacity in South Africa is likely to be contracted through a small set of specialised trading entities rather than through bilateral corporate PPAs.*

## 4. HISTORICAL COMPARISON: ANNUAL FINANCIAL CLOSURES SINCE 2011

Figure 2 presents the number of confirmed renewable energy financial closures per year since 2011. Years marked *M* denote periods in which REIPPPP procurement was effectively suspended — a critical contextual factor that shaped the uneven historical pattern. The 2026 bar shows confirmed YTD closures (solid) alongside the pipeline of projects expected to close by year-end (hatched); capacity figures for 2023–2026 are reported in Tables 1 and 2.



**Figure 2. Annual confirmed renewable energy financial closures in South Africa, 2011–2026, with 2026 split into YTD confirmed (solid) and expected pipeline (hatched). M denotes REIPPPP moratorium years.**

Source: Power Futures Lab, IPP Knowledge Hub (April 2026). <https://powerfutureslab.co.za/research/knowledge-hub>

### What the data show

- **A cyclical structure.** The South African renewables market has historically operated in waves driven by REIPPPP bid window cycles (2012–2014, 2018, 2021–2024), interspersed with policy-driven moratoria.
- **The 2012 spike.** The 29 closures in 2012 reflected the first major deployment of REIPPPP Bid Windows 1 and 2 — a programme-design success that produced an early peak.
- **The moratorium years.** REIPPPP procurement was effectively suspended between 2015 and 2018 following disputes between independent power producers (IPPs) and Eskom. Zero closures in 2015 and 2017, and just one small project in each of 2019 and 2020, confirm the severity of the pause.
- **Recovery and acceleration (2021–2024).** The resumption of REIPPPP and parallel growth of the C&I market drove a sharp recovery: 13 closures in 2021, 12 in 2022, 26 in 2023 and a record 35 in 2024.
- **2025 moderation.** The 14 closures in 2025 represent a relative pause — most plausibly a function of BW6/7 projects still progressing through financial structuring — rather than a reversal of momentum.
- **A historically high 2026 trajectory.** With eight confirmed closures already and 26 in the pipeline, 2026 is tracking as the most active year in the sector’s history.

## 5. OBSERVATIONS AND CONSIDERATIONS

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### Strengths

Beyond the structural features highlighted above — deep domestic capital markets, trader-intermediated C&I growth, and technology diversification across solar, wind, hybrid solar-plus-storage and standalone BESS — the 2026 project pipeline is notable for its breadth. Programmatic procurement through REI4P and BESI4P is proceeding in parallel with an increasingly mature private-market channel, and the combination of the two is what produces the historically high volumes.

### Risks and watch points

- **Pipeline conversion timing.** The pipeline of 26 projects is large, and not all may reach financial close within the calendar year. Four BW7 projects have already been reallocated to 2027, and developer- or procurement-side timing issues could push further closures beyond 2026 without changing the underlying direction of travel.
- **Grid allocation — fairness and process.** Eskom Distribution allocates grid access while Eskom Holdings competes in the same market through Eskom Generation and Eskom Green — a structural conflict of interest brought into focus by the February 2026 Sibanye Gold and March 2026 Mulilo/Scatec High Court rulings. NERSA's December 2025 Grid Capacity Allocation Rules also remain only partially implemented, with queue-disclosure rules outstanding.
- **Transmission build-out and TSO independence.** The NTCSA's 14 500 km transmission target by 2034 sits well above current delivery, and both its financing cost and the credibility of grid-access decisions depend on whether transmission ownership is fully independent of Eskom Holdings. The Eskom Restructuring Task Team (ERTT) is designing a fully independent TSO to own the assets and operate the market, with an implementation plan due by end-August 2026 and the TSO targeted to be operational by 31 December 2027.
- **Trading rules in consultation.** NERSA's revised draft trading rules could materially shape how electricity traders operate. Depending on final calibration, the rules could support or constrain the emerging trader-intermediated C&I model — a key consideration for the sector.

## CONCLUSION

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The 2026 deal flow points to a structural, not cyclical, recovery in South African renewable energy. A striking feature of the data is the continued weight of the public procurement programmes: REI4P Bid Windows 6 and 7 and BESI4P Bid Window 2 together account for the majority of 2026 capacity (confirmed + pipeline). Amid growing scepticism about REI4P's continued role given the expanding C&I pipeline, the evidence here underlines that REI4P remains decisive — both as a volume driver and as the benchmark against which private-market tariffs are priced. The 2026 C&I segment, meanwhile, is increasingly mediated by licensed electricity traders, reshaping how corporate off-take is organised and financed. Taken together, the 2026 deal flow strengthens energy security, accelerates decarbonisation (supporting exporters' prospects of defending market access in carbon-sensitive destinations such as the European Union), draws private capital into new generation at scale, and adds cost-competitive clean electricity to the grid. Sustaining this trajectory will depend less on investor appetite, which is now well established, than on whether reform implementation can move at the same speed.

## DATA SOURCES AND METHODOLOGY

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Figures in this brief are drawn from the Power Futures Lab IPP Knowledge Hub (snapshot April 2026), a proprietary dataset tracking independent power producer projects above 5 MW across Sub-Saharan Africa and covering all generation technologies (renewables, thermal, and storage). The Knowledge Hub is available at <https://powerfutureslab.co.za/research/knowledge-hub>. A project is recorded as financially closed on the date that all project finance conditions precedent have been satisfied and construction is unconditionally funded. Pipeline projects are those with publicly disclosed preferred bidder status or signed PPAs that have not yet reached financial close but are reasonably expected to do so within the calendar year. REI4P Bid Window references follow official DoEE and IPP Office nomenclature; BEI4P denotes the Battery Energy Storage IPP Procurement Programme. Tariffs are quoted in nominal ZAR/MWh at bid-submission date, with US\$ equivalents at the bid-submission exchange rate where relevant; capacity in MW (generation) and MWh (storage, where applicable).

### Abbreviations

**BESS** battery energy storage system | **BEI4P** Battery Energy Storage Independent Power Producer Procurement Programme | **BW** Bid Window | **C&I** commercial and industrial | **DFI** development finance institution | **EPC** engineering, procurement and construction | **FC** financial close | **IPP** independent power producer | **MW/MWh** megawatt / megawatt-hour | **PPA** power purchase agreement | **REI4P / REIPPPP** Renewable Energy Independent Power Producer Procurement Programme | **YTD** year to date.

**About Power Futures Lab.** PFL is a research and executive education centre at the UCT Graduate School of Business, focused on power sector reform, independent power production, and the clean-energy transition in Africa. Research outputs draw on proprietary project-level datasets and close engagement with regulators, utilities, developers and financiers across the continent.

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